

Microsoft Advertising Partner Pulse

September 1, 2026



 Microsoft Advertising



CODE OF CONDUCT

Microsoft's mission is to empower every person and every organization on the planet to achieve more. This includes all Microsoft events and gatherings, including on digital platforms and in person, where we seek to create a respectful, friendly, enjoyable, and inclusive experience for all participants.

We expect all event participants to uphold the principles of this Code of Conduct. The Code of Conduct applies to all aspects of the main event and any related activities, whether digital or in person. Microsoft does not tolerate the following in any aspect of the event program, including business and social activities:

Behavior that is disruptive, disrespectful, or degrading to others, including any messages, images, or interactions by anyone, in any form, regardless of location.

Harassment or discrimination based on age, ancestry, color, gender identity or expression, national origin, physical or mental disability, religion, sexual orientation, or any other characteristic protected by applicable local laws, regulations, and ordinances.

We encourage everyone to assist in creating a welcoming and safe environment. Please report any concerns, harassing behavior, or suspicious or disruptive activity to venue staff, the event host or owner, or the nearest event staff.

We also encourage everyone to contact Microsoft's Business Conduct Hotline at any time if you feel anything or anyone is not following this Code of Conduct or is inconsistent with Microsoft's culture. The Hotline is available regardless of whether you are a Microsoft employee and can be reached at buscond@microsoft.com or +1 (877) 320-MSFT, or call collect outside the United States at +1 (720)-904-6844. Microsoft employees can also report any concerns to their Microsoft Manager.

Microsoft reserves the right to refuse admittance to or remove any person from a Microsoft event at any time at its sole discretion.

Let's get connected

01

Ask a question

Type in the Q&A window if you have questions.

02

Engage with our speaker(s)

Use reactions to engage with speakers. These can be found in the tool bar at the top of your screen.

03

Turn on live captions

If you find this useful you can turn on live captions by clicking the CC button at the top of your screen.

04

Please note

By joining this event your personal information such as name, email and phone number, may be visible to other participants.

Table of contents

1

Partner Program Updates

Chinmayi Bhavanishankar

2

Consumer Trends: Capturing Discovery at Work with Microsoft Advertising

Kelli Kemery

3

The Holiday Shift: How AI changes where you win

James Murray

4

Partner Spotlight

Mindgruve

5

Unlocking Performance with Foundational Features

Amanda Silvernale

6

Q&A

Partner Program Engagement Timeline

Activations designed to enable and recognize partners

Partner Awards Nominations
June 1 – July 31, 2026

Partner Pulse
Quarterly webinar
September 1, 2026

Partner Pulse
Quarterly webinar
November 10, 2026

Partner Pulse
Quarterly webinar
February 24, 2027

Activate
Annual virtual summit
May 19, 2027

2026

Partner Workshop
Performance Max
August 18, 2026

Partner Workshop
Performance Max
September 16, 2026

Partner Awards Events
Oct 2026

Partner Workshop
TBD
April 14, 2026

Partner Workshop
TBD
June 16, 2026

Partner Sweepstakes
Sept 15 – Nov 10, 2026

Partner Celebration
Oct 5 – Nov 16, 2026

Partner Celebration
Mar 15 – April 30, 2026

Partner Workshop

Session 2: Performance Max Optimized: Smarter Signals, Bolder Structures, More Customers

September 16, 2026 at 8:00 am US Pacific Time

Getting a campaign live is just the beginning. In this workshop, **Monica Orsino** will share proven optimization strategies that help you maximize performance through smarter signals, advanced campaign structures, and customer acquisition best practices.

Using examples from Finance, Travel, and Automotive advertisers, you'll learn how to unlock new growth opportunities, drive incremental impact, and demonstrate value using capabilities unique to Microsoft Advertising.

Global Partner Sweepstakes

Coming soon - September 15 – November 10, 2026

Annual sweepstakes just for our partners, and a chance to win Xboxes or gift cards. Gain entries by:

- Linking new accounts
- Creating UET tags
- Enabling Automated bidding strategies
- Launching AI-powered campaigns with AI Max or Performance Max

Partner Celebration

Recognition for those enrolled in the Partner tier of the program

Two nomination windows

Companies enrolled in the Partner tier of the Microsoft Advertising Partner Program can submit nominations in **Fall 2026** (October/ November) and **Spring 2027** (March/ April)

Product Champion

Awarded to the Partner who adopted a new feature or innovative strategy that delivered outstanding outcomes and value for their clients.

Growth Catalyst

Awarded to the Partner that shows the most growth through revenue, new accounts, new industry verticals, and certifications in the previous year.

Global Emerging Partner of the Year

From the winners and finalists of each nomination cycle, we will select one Partner for this award who has demonstrated growth and product expertise in the past year. This award winner will be announced at Activate.

Capturing Discovery at Work with Microsoft Advertising

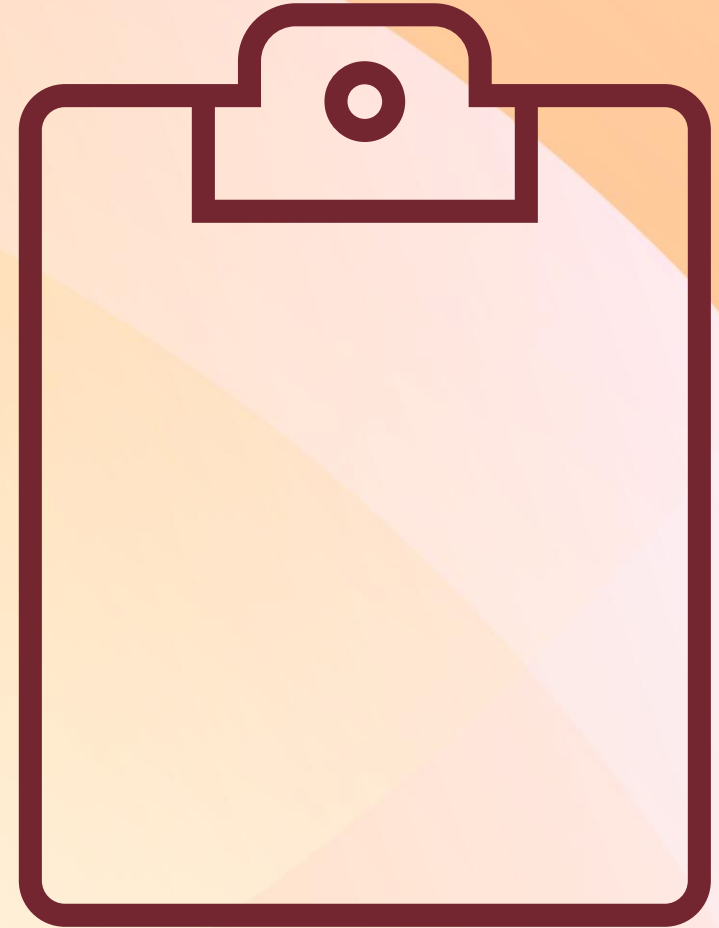
Methodology

15-minute online study

Audience:

1,000 US Consumers aged 18-65 who meet the following criteria:

- Currently employed with access to a work laptop/ desktop that runs on Windows
- Use Edge or Bing
- Have shopped online during the workday on a work laptop/ desktop in the past 6 months



Work devices spark discovery; however, checkout friction ultimately shifts many purchases to personal devices

Work drives discovery

- 87% browse and 74% compare prices on work devices
- 48% start shopping after seeing an ad online

Conversion shifts to personal devices

- Most purchases happen on personal devices
 - 89% agree that they prefer to make their purchases on a personal device
- 57% switch devices during the journey

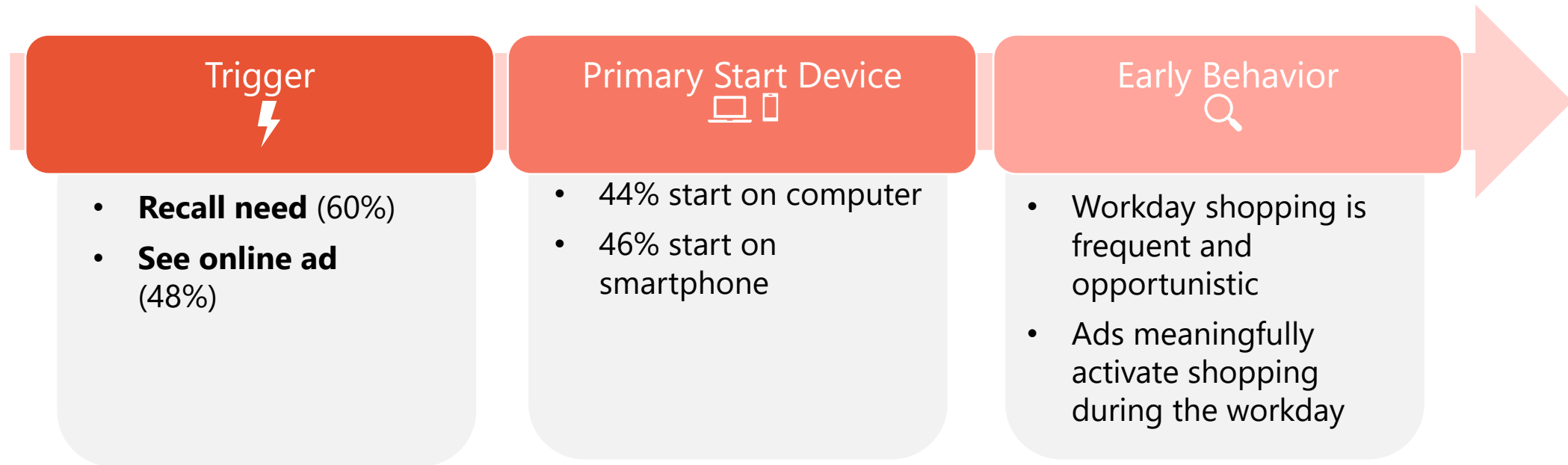
Why shoppers switch?

- Privacy concerns (employer visibility, payment info)
- Convenience (saved logins, apps, wallets)

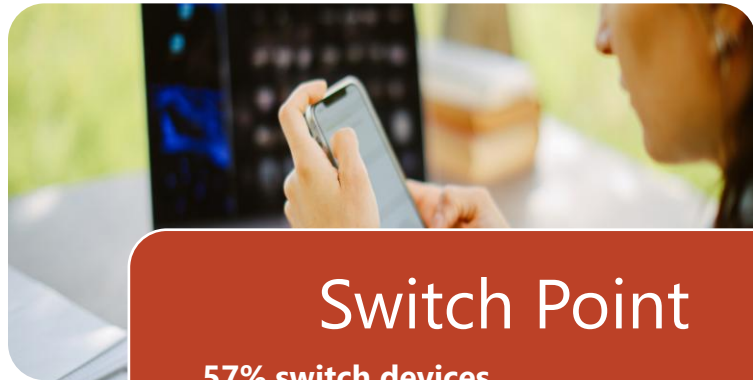


Work devices are a high-impact entry point, but friction at checkout shifts conversion to personal devices

Workday shopping is often need-driven, opportunistic, and influenced by advertising



Conversion friction, not lack of intent, drives shoppers to personal devices



Switch Point

57% switch devices

- Most common: Browse on work → purchase on personal



Drivers of switching

Top Drivers of switching:

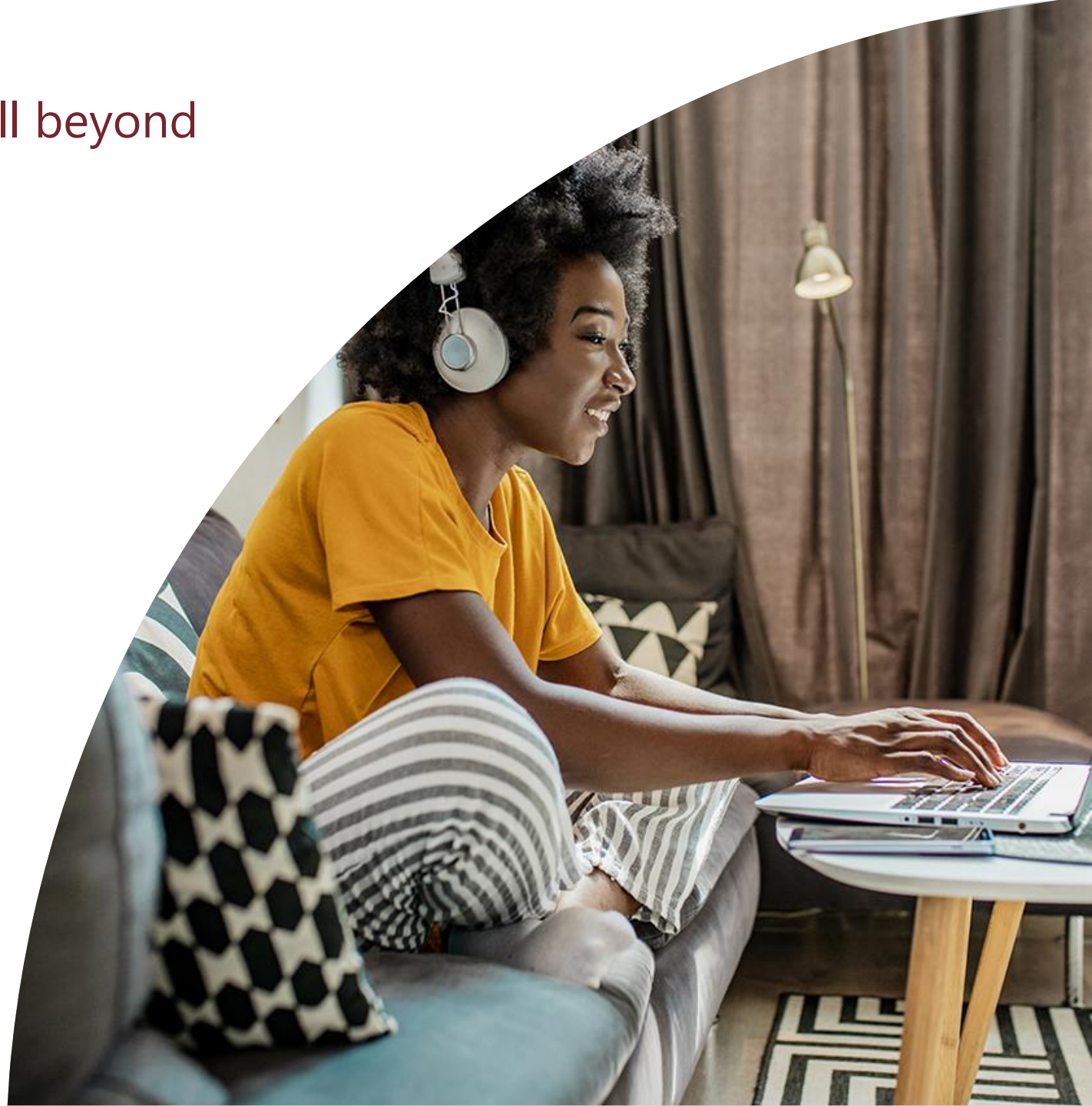
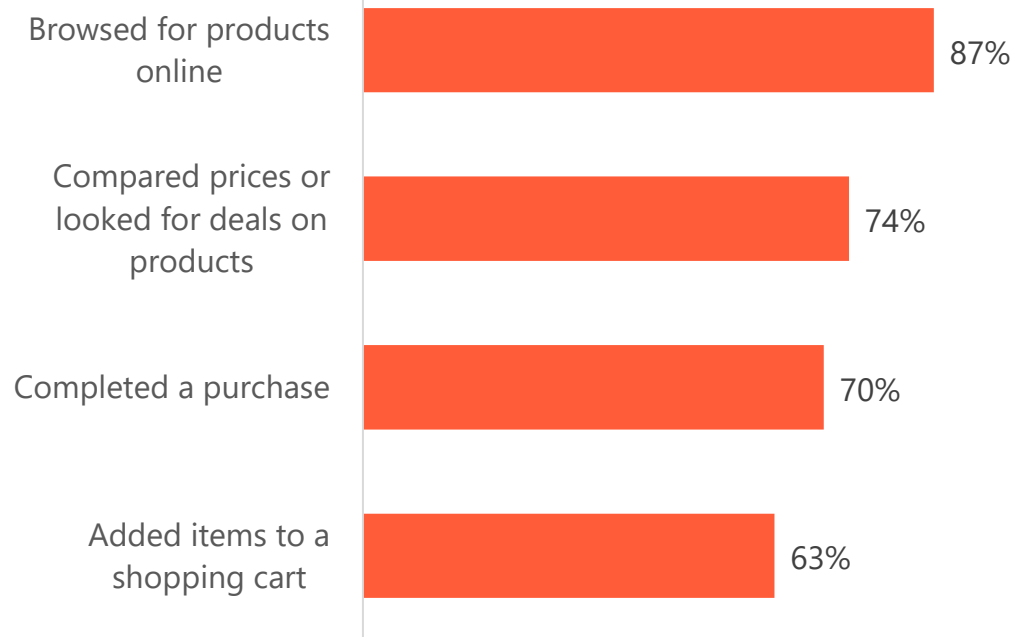
- Privacy concerns (employer visibility, payment/ personal data concerns)
- Convenience (Saved logins, apps and wallets)



Conversion friction, not lack of intent, drives shift to personal devices

Work devices support shopping well beyond discovery

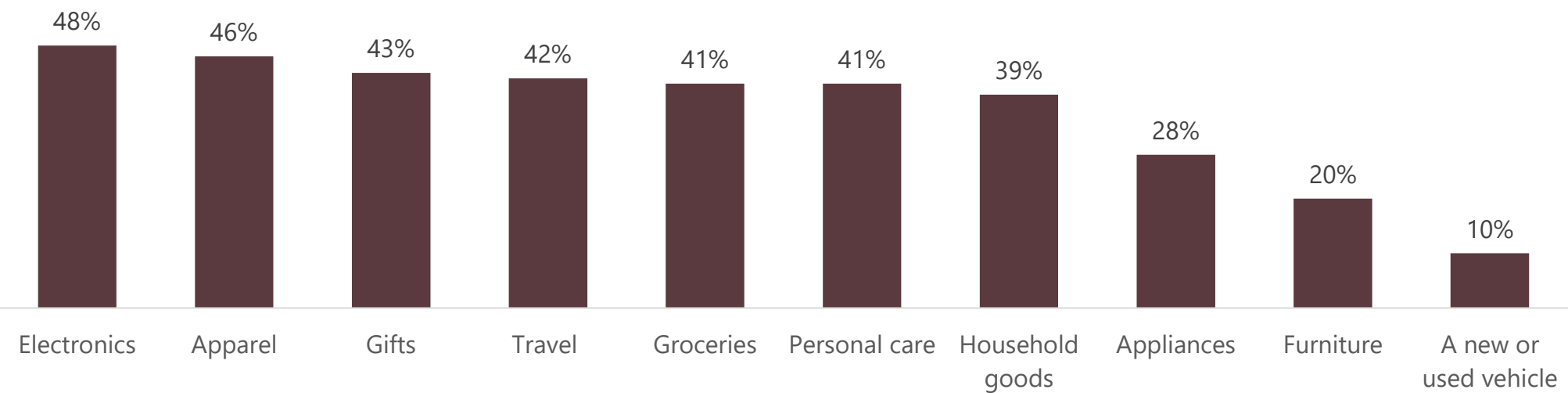
Shopping tasks completed on work computer in past 6 months



Pop Quiz!

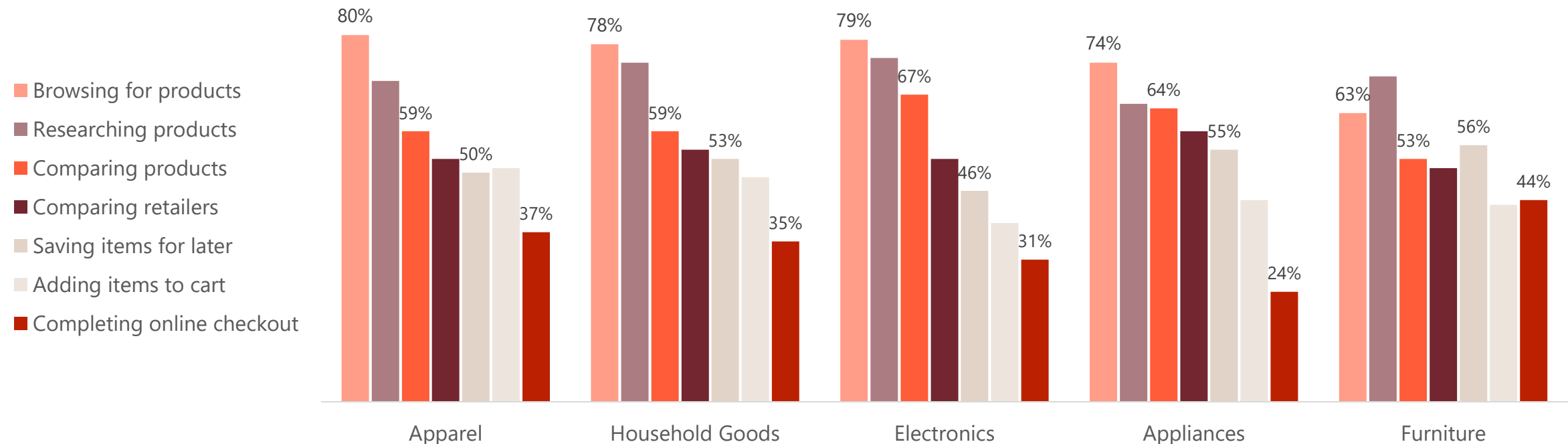
Consumers shop across diverse categories during the workday

Categories shopped for on work computer in P6M



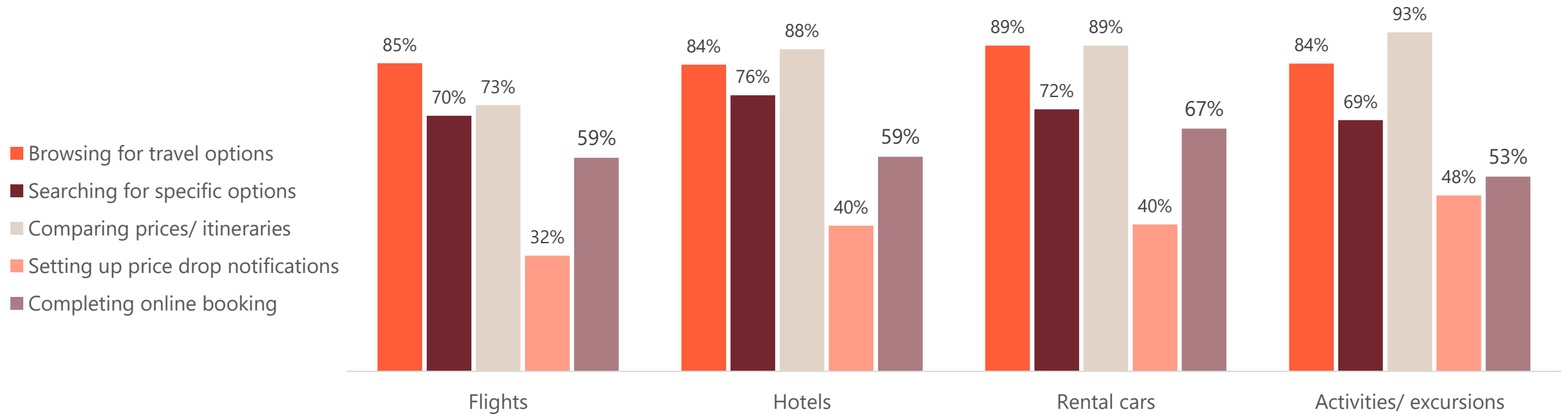
Work devices support meaningful progress through the purchase funnel across categories

Used work computer to complete in P6M
(of those who shopped within category)



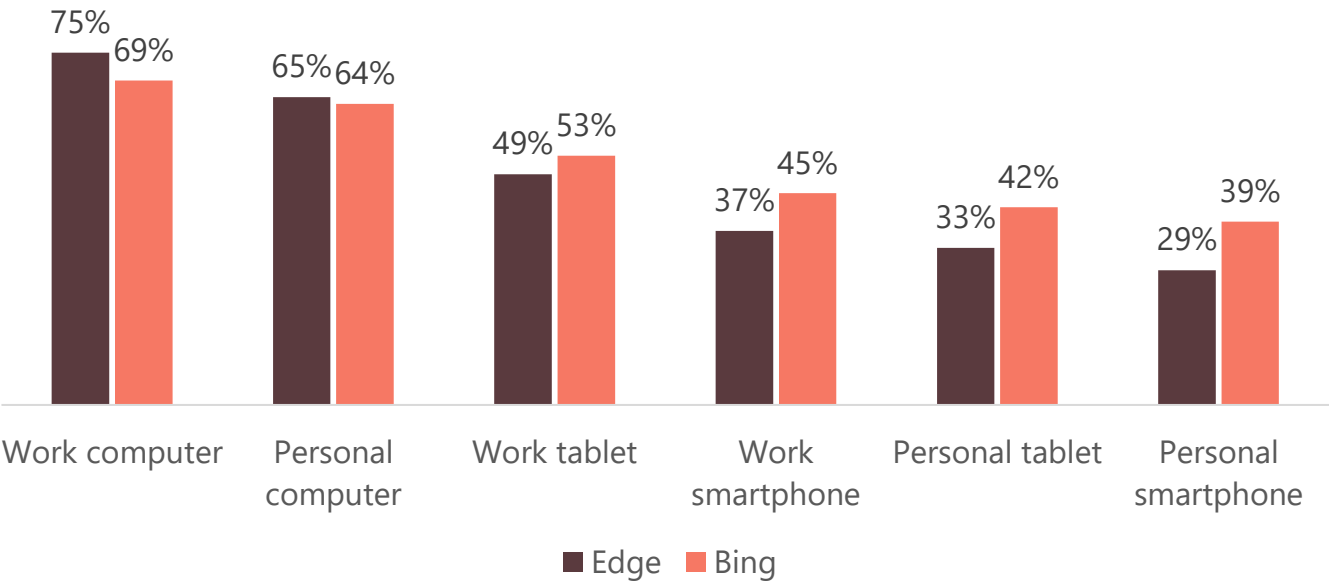
Work devices play a central role throughout the travel planning journey

Used work computer to complete in P6M
(of those who have planned travel)



Microsoft properties help advertisers reach consumers when shopping intent emerges

Microsoft Property Usage by Device



Top 2 Box
(Strongly Agree/ Agree)



KEY TAKEAWAYS

Microsoft Advertising captures high-intent shopping moments across the workday

01

Work is an entry point

Work devices are a primary shopping entry point, and Microsoft has a strong presence when intent emerges.

02

Intent is active

Workday shoppers research, compare, and purchase across categories. Microsoft Advertising captures high-intent discovery at scale.

03

Journeys cross devices

Conversion often happens later or elsewhere. The barrier is friction, not interest.

Reach shoppers early. Stay connected across the journey.

Winning in Holiday 2026 requires showing up in a complex, value-driven shopping journey



Plan for steady demand, but lean into growth segments



Lead with value to win price-sensitive shoppers



Show up earlier and stay on through last-minute moments



Execute seamlessly across channels while competing on value

The holiday shift: **How AI changes where you win**

James Murray

Global Product Storytelling
Lead, Generative AI

The background of the image is a solid black field. It is decorated with two distinct, curved lines of bokeh light. These lights are out of focus, appearing as soft, glowing circles in shades of light blue and pale green. One line of bokeh starts in the upper right corner and curves downwards towards the center. Another line starts in the lower left corner and curves upwards towards the center. The text is centered horizontally and positioned between these two light patterns.

More reach doesn't win holiday.
Better shoppers do.

Microsoft audiences aren't just present, they're high-intent, high-value consumers.



37%

more likely to be top earners



34%

more likely to be a senior decision maker



35%

more likely to discover brands through ads



23%

more likely to use AI chatbots

How do you
engage high-
value consumers
as they move
across the web?

Activate the advantage of Microsoft's connected ecosystem

Unique identity

Reach higher-value, affluent audiences—including professionals, gamers, developers, and families.

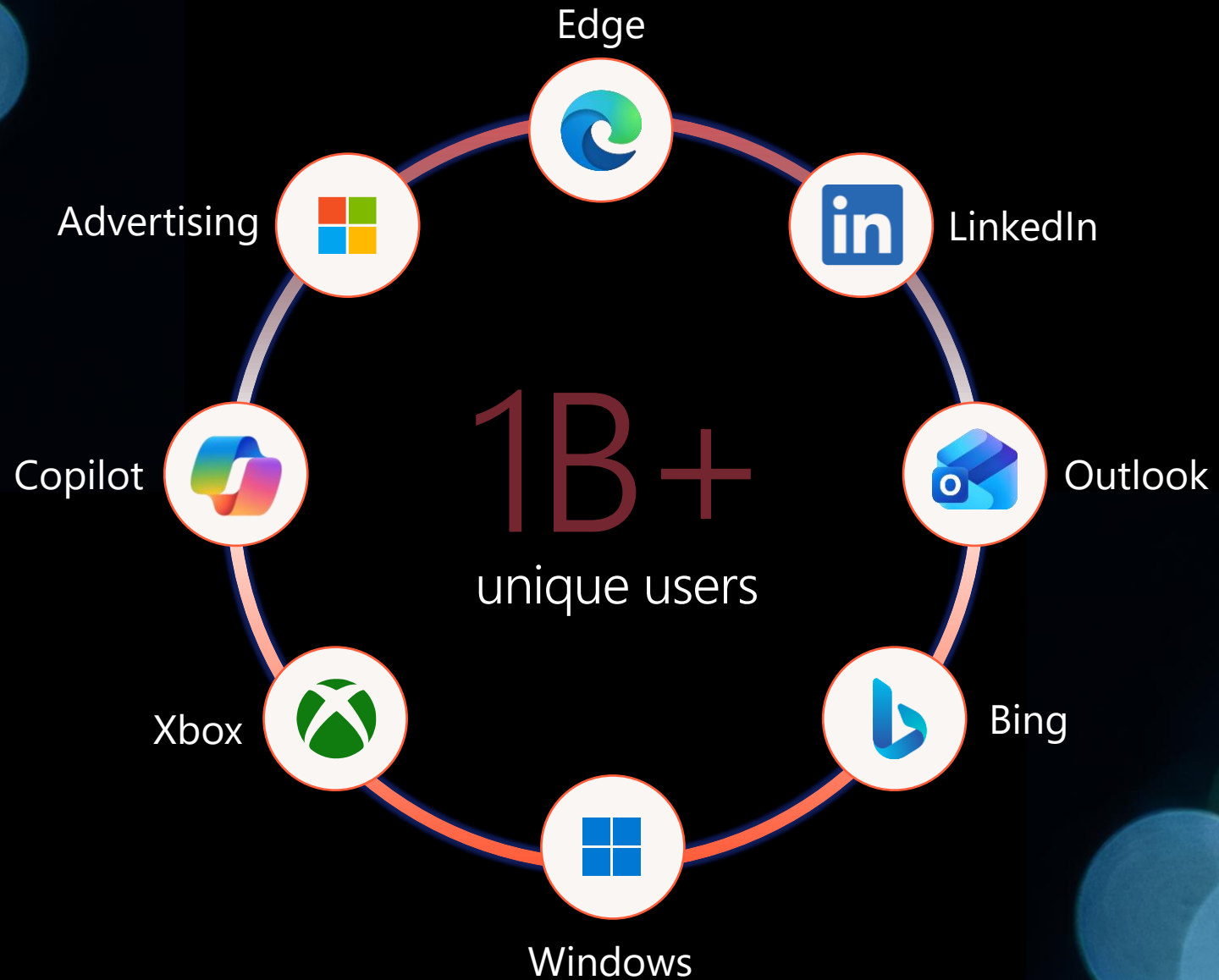
Unique intent

Tap into a strong intent graph that deeply understands consumers as they move across Bing, LinkedIn, Copilot, Outlook, Edge, MSN and more.

Unique inventory

Promote your business on new surfaces that go with consumers across their work, life, and play moments—throughout their day and through the entire purchase funnel.

Unique Identity + Intent + Inventory = **Increased growth, profit and ROI**



Billions

of first-party audience signals
that empower you to reach
the right customers.





Discovery starts earlier
and is being rewritten by AI

How long is the average conversion journey?

A. 12 days

B. 28 days

C. 52 days

D. 74 days

Clue

Think about the first click, not the last one.
October browsing still shows up in December baskets.

Source: Microsoft Internal, Retail Holiday Query Path (Conversion) 2025

Answer—C

52 days

from first click to holiday purchase

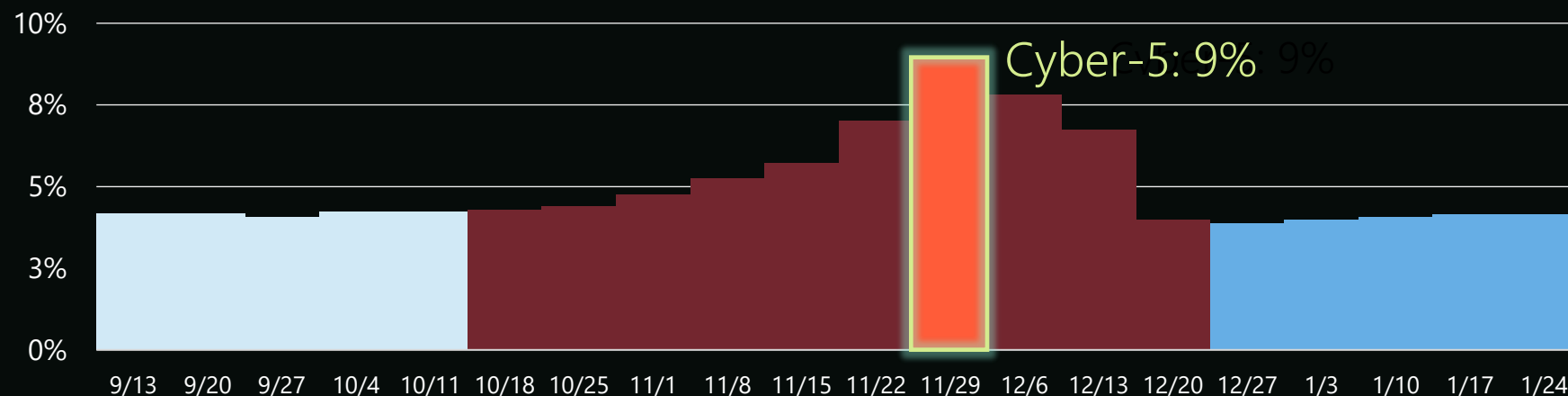
October first clicks fuel **56% of November** conversions and **35% of December** conversions. Visibility across the whole season, not just Cyber-5, is what closes the sale.

Build awareness early with Audience Ads, then re-engage with remarketing lists.

Source: Microsoft Internal, Retail Holiday Query Path (Conversion) 2025

Cyber 5 is the peak,
but strong visibility throughout the season
is critical as the holiday journey gets longer

% of total holiday conversions



Cyber-5 generates
9% of holiday conversions
but shopping starts in
September and October.

The average holiday
conversion journey is
52 days.

Holiday shoppers are seeking inspiration and AI experiences are influencing their research

3X

queries containing idea seeking, custom gifting, or general inspiration strings¹ have roughly tripled YOY.

11%

YOY increase in query length.

76%

of survey respondents plan to use AI chat for holiday planning.

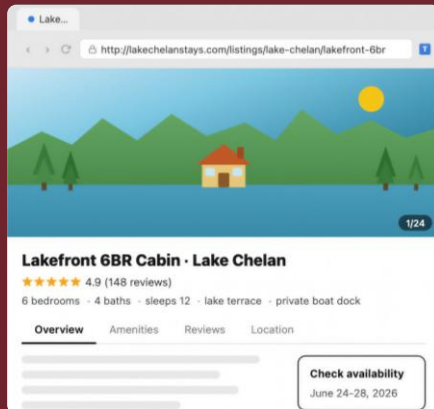
¹Holiday season queries containing "ideas," "pinterest," "etsy," "inspiration," etc. 2. Microsoft Internal | Retail Holiday Query Path (UET) Oct – Dec 2024, 2025 | O&O Only | Does not include Audience Ads

Marketers have
to operate across
three eras of the web

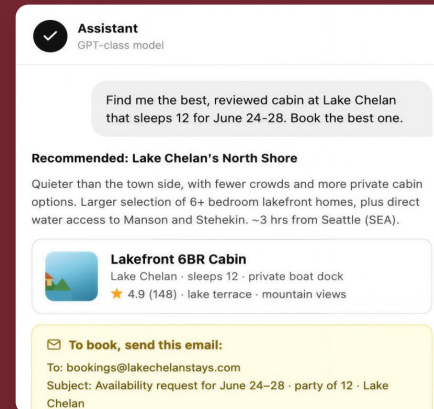
Engage high-value shoppers across all three eras

For Advertising

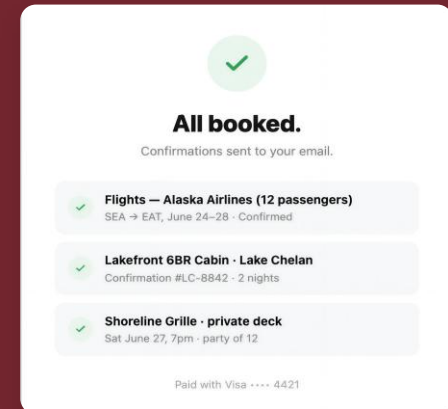
For AI engagement



Do it yourself
Websites and Apps
1990s–present



Ask AI, then do it yourself
LLMs
2022–present

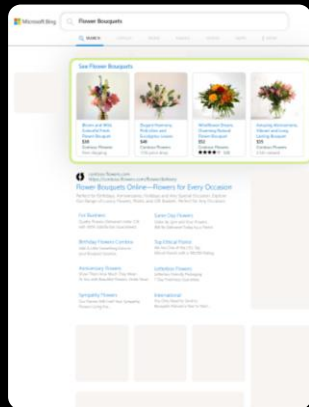


AI acts for you
Agents
2026 onward

Your marketing strategy should **still** prioritize the **human web**, which will drive most of your holiday sales

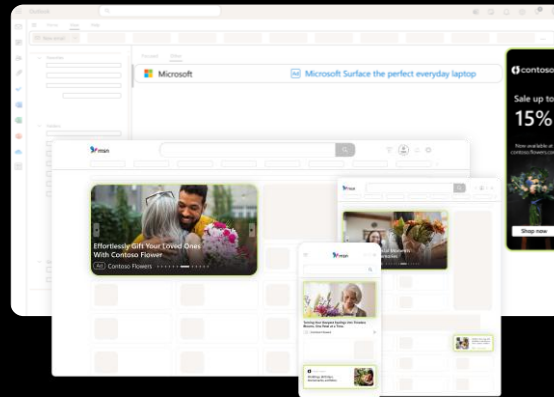
Search ads

Generate and capture high intent with proven ROI



Premium display

Engage consumers as they browse



Premium video

Build brand awareness that compounds in high-attention environments



This holiday season,
you also have to
prepare for your fastest-
growing audience:

LLMs and agents





8X

Automated traffic is growing
8x faster than human traffic.

3X

AI-driven sessions
tripled in 2025 alone.

HUMAN Security, The 2026 State of AI Traffic & Cyberthreat Benchmark Report: AI, Agents, Bots, and the New Threat Landscape

“Copilot, what are the
best matching holiday PJs
for families this year?

It reasons. It decides. It buys.

But does it pick your brand?

Query fan-out: the demand keyword targeting can't see

Copilot turns one shopping
prompt into many search queries.

Advertisers targeting only the obvious
keywords miss most of this demand.



01

Human prompt

One natural-language question

"Copilot, what are the best matching holiday PJs for families this year?"

02

Query fan-out

Parallel retrieval and grounding queries



Top holiday PJs for families 2026



Best quality holiday PJs for families



Cutest holiday PJ patterns



Trending holiday PJs this year



Holiday PJs for families for under \$30



Synthesis

03

AI-generated answer

Synthesized, grounded response

For matching family holiday pajamas, **Hanna Andersson** is the premium option, known for high-quality fabrics and timeless designs, while **Old Navy** offers the best value with a wide range of affordable family sets.

Target's Wondershop collection is a great blend of style and convenience, **Burt's Bees Baby** is ideal for families with young children thanks to its soft organic cotton, and **Little Sleepies** is a favorite for ultra-comfortable bamboo pajamas and modern prints.

Why it matters: Fan-out queries may not match a keyword list. Capturing this demand means moving up funnel, before shoppers type the obvious search.

AI experiences also
accelerate intent
**and improve
conversion rates**

53%

more likely to result in a purchase within 30 minutes when shopping journeys include Copilot.

194%

more likely to convert overall.

Your job
this holiday season
is to make sure AI is telling
your story



Get your brand top-of-mind as holiday shopping starts and be there when demand hits

Coming soon

**Build awareness before
the season begins**

Brand solutions

Video-first buy across premium CTV, Xbox, MSN, and more to drive measurable brand lift

**Drive consideration as shoppers
narrow down their gift lists**

Audience ads

Premium display and immersive image formats to engage consumers browsing the web

AI Max and Performance Max

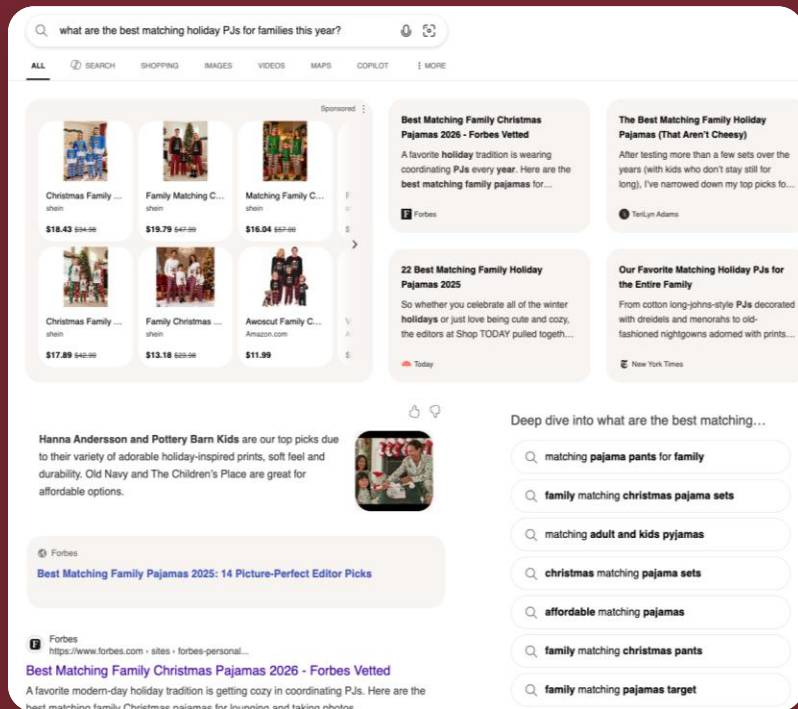
Unlock new queries with keywordless targeting and serve on AI surfaces like Copilot Search
Win new business on Performance Max with the New Customer Acquisition goal

**Capture intent
and close the sale**

AI Max and Performance Max with Shopping

AI-powered performance on Search and Copilot, or across channels and Copilot

PMax and AI Max help you deliver better Copilot ads on Bing and in the Copilot app



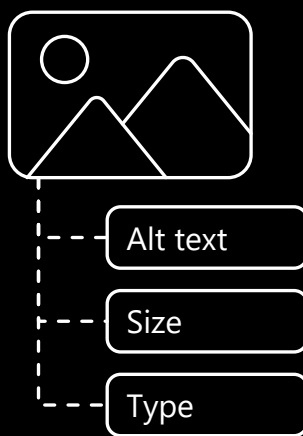
☒ Enable AI-powered optimization for your campaign ⓘ

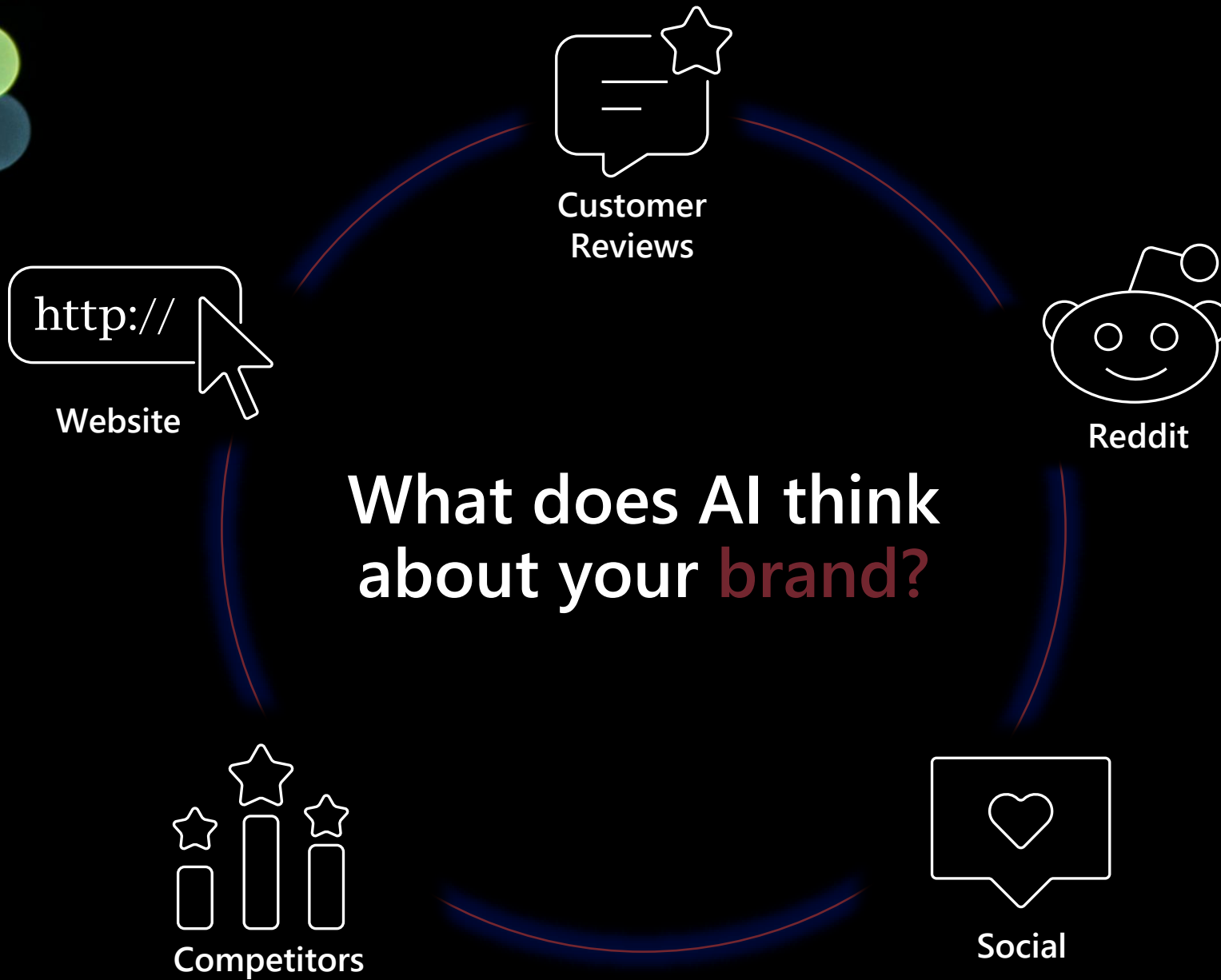


Only AI Max and Performance Max have the ability to adapt to evolving consumer behavior—by using AI to reach increasingly complex queries and generate relevant creative in Copilot in real-time.

This helps your campaigns stay resilient as consumer journeys become more conversational, compressed, and intent-rich.

Beyond ads, what does AI see from your brand?





Understand how AI represents and cites you with Microsoft Clarity

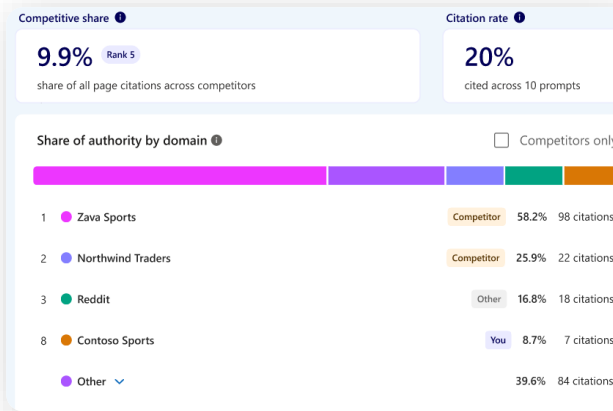
01

The topics you're cited on

	Query		SoA	Citations
1	northwind casual shoes	Branded	18.00%	7.00K
2	performance soccer shoes for athletes	Non-branded	20.50%	6.10K
3	walking shoes	Non-branded	19.00%	5.90K
4	professional tennis shoes for tournaments	Non-branded	27.50%	5.50K
5	northwind running shoes	Branded	30.00%	4.80K
6	northwind crossfit shoes	Branded	32.00%	4.50K
7	northwind slip-on shoes	Branded	17.50%	4.30K

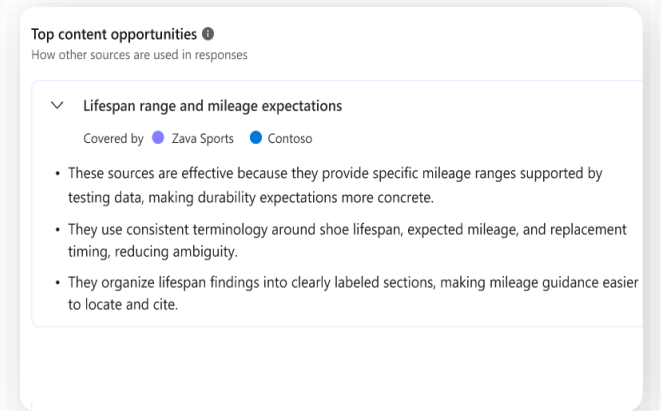
02

Your competitive share of authority



03

Your top content opportunities



Then use your own brand agent to **increase conversions** when shoppers arrive to your site

A turnkey AI shopping solution in Clarity
tailored to your brand voice—connected
to your Shopify or WooCommerce catalog.



Increase
cart conversions



Turning everyday questions
into high-intent conversations



Help shoppers discover
more, decide faster, and
buy with confidence

You can win high-value holiday shoppers with Microsoft across all three eras of the web this season

Websites and Apps

Audience ads
To drive awareness
and consideration

AI Max and Performance Max
To drive early discovery
and capture intent

LLMs and Chat

Merchant Center
To share your full
product catalog
and activate UCP

AI Max and Performance Max
To improve your ads on
Copilot Search in Bing
and the Copilot app

Agents

Clarity
To understand how
your brand is found
and chosen through AI

Brand Agents
To give every customer
a personal shopper
on your website

Thank you

A conversation with Joey Bridges



VP of Global Search at ***mindgruve.***

Unlocking Performance with Foundational Features

Amanda Silvernale

Foundational tactics to drive performance



UET Tracking to ensure you're optimizing toward the right KPIs



Autobidding to ensure you're bidding toward the right conversions



Automated Keyword Targeting to ensure you're capturing the full opportunity

UET Tracking

Drive more value and future proof your campaigns

Providing as many signals as possible allows you to get the best and most informed picture of your advertising and provides our system the information needed for optimization .

Boosted Performance

UET gives richer signals to the algorithms to optimize toward your business goals.

Future Proofed Campaigns

UET is a cookie-proof solution that is evolving accordingly to help you track post-click conversion data in a compliant manner.

Customer Journey Insights

Better understand analytics beyond the click on your ads to enhance your optimization strategies based on actual user behavior.

Unlock Autobidding

UET is required to unlock automation features like autobidding.

Autobidding

Get more of what counts with automation

Microsoft Advertising's automated bid strategies use AI to set bids in real time – for every auction – to get the most conversions possible within the daily budget. At each auction it factors in real-time signals to predict how likely each impression is to convert and bids accordingly.

Optimize to the right KPIs

With autobidding, you're automatically optimizing towards your true overall business goals, instead of adjusting your manual bids for clicks that seem more or less likely to lead to a conversion.

Leverage Automation

While other strategies use a few signals to tailor your bids, it's not to the same extent as the contextual signals and historical information that autobidding leverages.

Test with Confidence

You can use campaign experiments to test how autobidding drives better results compared to manual bidding.

Unlock More Automation

Autobidding is required for our AI powered campaigns – Performance Max and AI Max – allowing you to unlock more opportunity

Automated Keyword Targeting

Unlock new opportunities

As consumer search continues to evolve it's important to give our AI-powered campaign types flexibility to match to longer and more conversational queries. This real-time flexibility can improve relevance for the user and performance the advertiser.

Source: Sit amet nisl suscipit adipiscing bibendum est ultricies integer

Reach Beyond your Keyword List

AI-powered matching uses your provided content — ad creative, keywords, and landing pages — to uncover incremental, high-intent queries you didn't explicitly target.

Signal-Based Matching

Goes beyond exact / phrase / broad by layering in contextual and intent signals from Microsoft's first-party data (Bing, Edge, LinkedIn) to match ads to relevant searches.

AI Powered Campaigns

Performance Max campaigns automatically use automated keyword targeting.

Opt into Search Term Matching in AI Max to enable automated keyword targeting.

Stronger Together

Works best alongside final URL expansion and text customization to provide the most relevant ad and landing page experience for that query.

Q&A

Please take the post-event survey to tell us how we can improve this webinar in the future.